

Over half of the 4¹/₂s, due 1933, were converted in 1915, the first year in which the privilege was exercisable, and the balance was rapidly reduced thereafter through conversion. In 1925, when the privilege expired, \$1,899,400 remained unconverted, and these were called at par in 1931. Meanwhile, prior to 1925, several privileged subscriptions were offered to shareholders and this may account for the rapid conversion of this issue unprotected against dilution through shareholders' "rights," although the higher yield on the stock under an \$8 and \$9 dividend rate doubtless was a factor.

Another example which is not quite so clearly in point is that of the Brooklyn Union Gas Co. Convertible 5¹/₂s, due 1936. These were offered in December 1925 with the right to convert into 20 shares of common stock on or after Jan. 1, 1929. The indenture was somewhat ambiguously worded to the effect that "in the event of a change in the character of the stock of the Company prior to the maturity of the bonds, so as to increase or decrease the number of shares which the stockholders would be entitled to receive for their stock, then the number of shares which the holders of these bonds shall receive upon conversion shall be correspondingly increased or decreased." This left the matter in doubt as to whether protection against all forms of dilution was afforded or whether protection was given against stock dividends, stock splits, and reverse split-ups only. It was perhaps for this reason that very large arbitrage spreads existed between the bonds and the stock prior to Jan. 1, 1929, when actual conversion could occur, although here again the higher yield from dividends on the equivalent amount of stock may have accounted in part for the discrepancies. Relevant data are appended below.

Date	Price of common	Equivalent price for bonds	Price of bonds	Spread in dollars per \$1,000 bond
3/19/26	71 ¹ / ₂	143	129	\$140
9/17/26	91	182	155	270
6/17/27	115	230	197	330
9/23/27	142	284	224	600
3/30/28	153	306	272	340
9/28/28	166	332	309	210
12/28/28	187 ¹ / ₂	375	375	0

NOTE 39

Dodge Brothers, Inc., Convertible Debenture 6s, due 1940, illustrate the increase in conversion price which occurs when shares in the issuing corporation are exchanged for a smaller number of shares in a merger with another corporation.